

31 MONTH 2023

FOORD

FOORD CONSERVATIVE FUND

The fund aims to grow retirement savings by inflation-beating returns over the long term from a conservatively positioned multi-asset portfolio. The fund is appropriate for conservative investors in retirement products who are close to, or typically in, retirement and whose time horizon does not exceed five years.

FUND MANAGERS
Nick Balkin and Dave Foord
MANAGING COMPANY
Foord Unit Trusts (RF) (Pty) Ltd
VAT Registration Number: 4560201594

CATEGORY
South African - Multi Asset - Medium Equity

INCEPTION DATE
2 January 2014

BASE CURRENCY
South African rand

COMPILE
South Africa
Column = 46mm

EQUITY INDICATOR ●●●●●●●●●●
Indicates the relative weight of equities in the portfolio. A higher weight could result in increased volatility of returns.

BENCHMARK
CPI + 4% per annum

PORTFOLIO SIZE
R892.9 million

MINIMUM LUMP SUM / MONTHLY
R50 000 / R1 000

UNIT PRICE (CLASS A)
R523.79 cents

NUMBER OF UNITS (CLASS A)
1.5 million

LAST DISTRIBUTIONS
30/09/2022: 21.84 cents per unit
31/03/2022: 17.07 cents per unit

INCOME DISTRIBUTIONS
End-March and end-September each year.

INCOME CHARACTERISTICS
Typically more than double that of the FTSE/JSE All Share Index dividend yield. The income yield is affected by the level of performance fees accrued.

SIGNIFICANT RESTRICTIONS
Maximum equity exposure of 60%; maximum offshore exposure of 45%; complies with pension fund investment regulations (Reg 28).

PORTFOLIO ORIENTATION
Typically a medium to low weighting in JSE shares and includes exposure to listed property, commodity securities, bonds, money market instruments and foreign assets.

FOREIGN ASSETS
Foreign asset exposure is obtained predominantly via Foord International Fund (a conservative, multi-asset class fund), sub-fund of Foord SICAV domiciled in Luxembourg and Foord Global Equity Fund (a portfolio of global shares and cash), domiciled in Singapore. Both funds are priced in US dollars.

RISK OF LOSS
Medium in periods shorter than six months. Low in periods greater than one year.

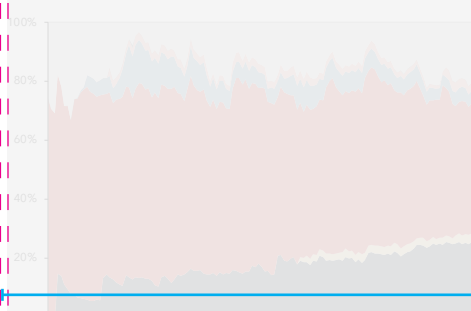
TIME HORIZON
Shorter than five years.

ASSET ALLOCATION (MAX LIMITS IN BRACKETS*)

	SA %	FOREIGN %	TOTAL%	
Equities	26.5	24.7	51.2	(60)
Listed property	3.8	0.9	4.7	(25)
Corporate bonds	0.0	1.7	1.7	(50)
Government bonds	28.3	0.7	29.0	(100)
Commodities	3.7	1.3	5.0	(10)
Money market	2.3	6.1	8.4	(100)
TOTAL	64.6	35.4	100.0	

Market value breaches (if any) to be rectified within 12 months

CHANGES IN PORTFOLIO COMPOSITION



Add 1mm to left for colour bar under tables = 63mm

Column = 62mm

PERFORMANCE FEE EXAMPLES FOR FOORD CONSERVATIVE FUND (CLASS A)

SECURITY	ASSET CLASS	MARKET	% OF FUND
Foord International Fund	Foreign assets	LUX	20.2
IRSA 10.5% (R186)	Gov bond	ZAF	14.3
Foord Global Equity Fund	Foreign assets	SGP	14.2
IRSA 8.0% (R2030)	Gov bond	ZAF	5.3
IRSA 8.25% (R2032)	Gov bond	ZAF	5.0
NewGold	Commodity	ZAF	3.7
IRSA 8.875% (R2035)	Gov bond	ZAF	3.6
Spar Group	Equity Property Equity	ZAF	2.2
Fortress	Property	ZAF	2.1
Naspers "N"	Equity Property Equity	ZAF	2.1

PORTFOLIO PERFORMANCE (PERIODS GREATER THAN ONE YEAR ARE ANNUALISED¹)

	CASH VALUE	SINCE INCEPTION	LAST 7 YEARS	LAST 5 YEARS	LAST 3 YEARS	LAST 12 MONTHS	THIS MONTH
FOORD ³	R 174 830	6.7%	6.3%	6.8%	8.6%	3.7%	1.4%
BENCHMARK ⁴	R 212 189	9.2%	8.9%	8.7%	8.9%	10.9%	0.9%
FOORD HIGHEST ^{3,5}		20.3%	20.3%	20.3%	20.3%	3.7%	
FOORD LOWEST ^{3,5}		-1.6%	-1.6%	-1.6%	2.4%	3.7%	

¹ Converted to reflect the average yearly return for each period presented

² Current value of R100 000 notional lump sum invested at inception, distributions reinvested (graphically represented in R'000s above) Class A, net of fees and expenses

³ Source: Stats SA, performance as calculated by Foord (estimated for July 2022)

⁴ Highest and lowest actual 12 month return achieved in the period

11mm

10mm

IMPORTANT INFORMATION FOR INVESTORS

SIN NUMBER: ZAE000142172

Foord Unit Trusts (RF) (Pty) Ltd (Foord Unit Trusts) is an approved CIPC Management Company (#10), regulated by the Financial Sector Conduct Authority. Portfolios are managed by Foord Asset Management (Pty) Ltd (Foord), an authorised Financial Services Provider (FSP #578). The custodian/trustee of Foord Unit Trusts is RMB Custody and Trustee Services (a division of FirstRand Bank Limited), contactable on T: 087 36 1732, F: 0860 557 714, www.rmb.co.za.

Collective Investment Schemes in Securities (unit trusts) are generally medium- to long-term investments. The value of participatory interests (units) may go down as well as up and past performance is not necessarily a guide to the future. Performance is calculated for the portfolio. Individual investor performance may differ as a result of the actual investment date, the date of reinvestment and withholding taxes. Performance may be affected by changes in the economic conditions and legal, regulatory and tax requirements. Foord Unit Trusts does not provide any guarantee either with respect to the capital or the performance return of the investment. Unit trusts are traded at ruling prices and can engage in borrowing. Foord Unit Trusts does not engage in scrip lending. Commission and incentives may be paid and if so, this cost is not borne by the investor. A schedule of fees and charges and maximum commissions is available on request. Distributions may be subject to mandatory withholding taxes. Portfolio information is presented using effective exposures. A fund of funds invested only in other Collective Investment Scheme portfolios, which may levy their own charges, which could result in a higher fee structure. A feeder fund is a portfolio that, apart from assets in liquid form, consists solely of units in a single portfolio of a collective investment scheme which could result in a higher fee structure. Foord Unit Trusts is authorised to close the portfolio to new investors in order to manage the portfolio more efficiently in accordance with its mandate.

This document is not an advertisement, but is provided exclusively for information purposes only and should not be regarded as an offer or solicitation to purchase, sell or otherwise deal with any particular investment. Economic forecasts and predictions are based on Foord's interpretation of current factual information and exploration of economic activity based on expectation for future economic activity.

Disimilar to previous cycles. Forecasts and commentary are not guaranteed to occur. While we have taken and will continue to take care that the information contained herein is true and correct, we request that you report any errors to Foord at unittrusts@foord.co.za. The document is protected by copyright and may not be altered without prior written consent.

UNIT PRICE

Unit trust prices are calculated on a net asset value basis, which is the total value of all assets in the portfolio including any income accruals and less any permissible deductions from the portfolio. Forward pricing is used. Prices are determined at 15h00 each business day and are published daily on www.foord.co.za and in national newspapers. The cut-off time for instruction is 14h00 each business day.

TER

A Total Expense Ratio (TER) is a measure of a portfolio's annual expenses, fees and charges, expressed as a percentage of the average daily value of the portfolio. These expenses include the annual fee, VAT, audit fees, bank charges and costs incurred (excluding trading costs) in any underlying funds. Included in the TER, but separately disclosed, is a performance fee (or credit) resulting from overperformance (or underperformance) against the benchmark. A higher TER ratio does not necessarily imply a poor return, nor does a low TER imply a good return. The current TER cannot be regarded as an indication of future TERs. Performance return information and prices are always stated net of the expenses, fees and charges included in the TER. The TER for the fund's financial year ended 31 March 2022 was 0.93%.

FOREIGN INVESTMENT RISK

The portfolio may include underlying foreign investments. Fluctuations or movements in exchange rates may cause the value of underlying foreign investments to go up or down. The underlying foreign investments may be adversely affected by political instability as well as exchange controls, changes in taxation, foreign investment policies, restrictions on repatriation of investments and other restrictions and controls that may be imposed by the relevant authorities in the relevant countries.

Foord is a member of the Association for Savings and Investment SA.

This is a Minimum Disclosure Document published on 3 March 2023. Additional detailed analysis is published in the Quarterly Portfolio Report available on www.foord.co.za.

FEE STRUCTURE

The annual fee is based on portfolio performance with the daily fee rate being adjusted up or down based on the portfolio's one-year rolling return relative to that of its benchmark and is subject to a minimum fee rate. Fees accrue in the Foord global funds as disclosed.

FEE RATES (CLASS A)

Widest = 130mm

Initial, exit and switching fees	0.0%
Standard annual fee for equalling benchmark	1.0% plus VAT
Performance fee sharing rate	10% (over- and underperformance)
Minimum annual fee	0.5% plus VAT
Maximum annual fee	Uncapped
Foord global funds:	
Foord International	1.0%
Foord Global Equity	0.5% plus 15% performance

TOTAL INVESTMENT CHARGE

	12 MONTHS	36 MONTHS
Total expense ratio (TER)	0.99%	1.41%
Manager's charge (basic)	1.00%	1.00%
Performance charge	0.13%	0.06%
Foord Global Equity	0.29%	0.29%
VAT	0.13%	0.18%
Transaction costs (incl VAT)	0.07%	0.07%
Total investment charge	1.06%	1.48%

PERFORMANCE FEES

Column = 99mm

Performance fees align investor and manager return objectives by rewarding the manager for outperformance while penalising the manager for underperformance. Foord's performance fee structure increases or decreases the daily fee levied based on the over- or underperformance of the Foord unit trust portfolios relative to their benchmarks. When the portfolio return exceeds the benchmark return, the daily performance fee rate is increased proportionately. Similarly, underperformance causes the daily performance fee rate to decrease proportionately. Performance fee rates are not capped for the reason that outperformance is generally not earned smoothly.

The annual fee is adjusted up or down daily by the performance fee calculated as the difference between the rolling one-year net-of-fee return and the benchmark return for the same period, multiplied by the performance fee sharing rate.

PERFORMANCE FEE EXAMPLES FOR FOORD CONSERVATIVE FUND (CLASS A)

SCENARIO	A	B	C	D	E
Foord 1-year rolling return	10.0%	10.0%	10.0%	10.0%	-2.0% **
Benchmark 1-year rolling return	8.0%	12.0%	10.0%	9.0%	9.0%
Relative performance	+2.0%	-2.0%	0.0%	-7.0%	-11.0%
Performance fee sharing rate	10.0%	10.0%	10.0%	10.0%	0.0%
Daily adjustment to 1% annual fee	+0.2%	-0.2%	0.0%	-0.7%	0.0%
Annual fee rate applied (excl. VAT)	1.2%	0.8%	1.0%	0.5%*	0.0%

* Minimum fees apply
** No fees are levied

Add 1mm to left for colour bar under tables = 63mm

62mm

Column = 62mm

Please visit our website for more information regarding our investment track record, our Foord team, current and archived news items, or forms and documents.

This information is provided free of charge.

T. +27 21 532 6969
E. unittrusts@foord.co.za
www.foord.co.za

